

Escrow 101

An escrow account (aka **trust fund account** or **trust account**) is a bank account held by an escrow agent or officer (usually a broker, title company representative, or attorney) who's responsible for maintaining funds that belong to others.

Earnest Money

These accounts are most widely used in real estate transactions to hold earnest money deposits (escrow funds). Buyers offer earnest money to show their commitment to the purchase. Buyers typically submit the proper amount of earnest money for each offer made; using the same earnest money check for multiple offers at one time may misrepresent the buyer's ability to pay required funds.

Escrow funds don't belong to the seller. Instead, the escrow agent holds these funds in an escrow (or trust) account until the buyer, seller, and their mortgage companies have all documents in order for the closing.

Escrow money is held until all contingencies in the contract are met. When all terms of the agreement are satisfied, the escrow agent disburses the money held in escrow. Generally, the escrow agent disburses these funds to the closing agent to be used by the buyer toward their closing costs.

Occasionally, there's a dispute about who gets the earnest money or money in an escrow account. Escrow agents must have written instructions from both parties indicating how to disburse the funds in the case of a dispute. If there's no such agreement, the escrow holder typically holds onto the money until the parties agree on a solution or until the matter is ruled upon in a court of law.

Each state has very specific rules about how escrow accounts must be managed. Escrow officers must keep escrow accounts and funds intended for deposit in these accounts separate from any other operating or personal account.